Module 2: Individual Insurance Products

Lesson 2: Cash Value Life Insurance

Learning Objectives

After studying this lesson, you will be able to:

- Describe cash value life insurance coverage.
- Distinguish between forms of traditional whole life insurance based on premium payment frequency.
- Describe the benefits that modified whole life(Bảo hiểm nhân thọ trọn đời điều chỉnh), joint whole life (Bảo hiểm nhân thọ trọn đời chung), and last survivor insurance (Bảo hiểm nhân thọ trọn đời người cuối cùng qua đời) provide policyowners.
- Describe the features and benefits of universal life (Bảo hiểm nhân thọ linh hoạt), indexed universal life (Bảo hiểm nhân thọ linh hoạt liên kết chỉ số), variable life (Bảo hiểm nhân thọ biến đổi), and variable universal life insurance (Bảo hiểm nhân thọ linh hoạt biến đổi) products.

Cash Value Life Insurance

Learning Objective

Describe cash value life insurance coverage.

What is Cash Value Life Insurance?

Like all forms of life insurance, cash value life insurance pays a death benefit if the insured person dies while the policy is in force.

But cash value life insurance (Life insurance that provides insurance coverage throughout the insured's lifetime and provides a savings element, known as the cash value. Sometimes known as permanent life insurance.) has two important features term life doesn't have:

- Lifetime coverage
- A savings element

Length of coverage	Insured's Lifetime	Specified term only
Savings element?	Yes, through the cash value	No

Lifetime Coverage

Cash value life insurance protects for the insured's entire lifetime, as long as the premiums are paid. The insured can't outlive the insurance protection—as long as the policy is in force, the coverage never needs to be renewed.

A Cash Value

In addition to a death benefit, cash value life insurance has a savings element—known as a cash value—that the policyowner can access while the insured is still alive.

Just how big a policy's cash value is at any given time depends on the

- Policy face amount
- Length of time the policy has been in force
- Length of the policy's premium payment period

Cash Value Life and Term Life

See as this industry expert explains "blended" products--products that have characteristics of both term life insurance and cash value life insurance.

Anthony Ferraro
Vice President and Actuary
New York Life

Term insurance is insurance that is set for a certain term. So you can think of it as not being permanent insurance. Permanent insurance is something that continues for the whole life of a person. So you'll have... typically term insurance doesn't come with cash values and permanent insurance likely will have cash values built up over time. And so oftentimes, people will associate

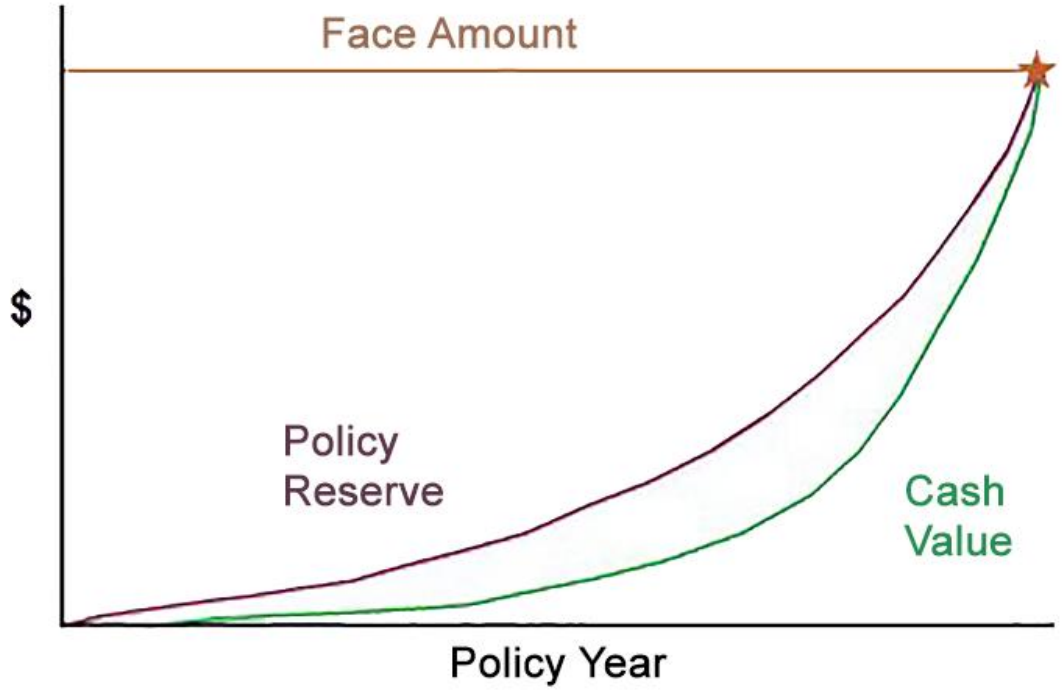
permanent insurance with cash value life insurance and term insurance with having no cash value but lasting for a certain term.

In more recent years, there's been a blend of these types of products and so you have permanent products that have very little or no cash value associated with them. And you have term products today that actually will return premium after a certain period of time and one could think of that as a cash value as upon surrender, you'll get back the money that you put into the product. So there's been a bit of a blurring of the lines between term insurance and cash value life insurance but the key aspect to... the key difference will always be that a term insurance product will not last the whole life of a person.

There's a lot of permanent plans out there that are now built without cash value, which honestly many companies worry about a little bit because you're really... at that point in time there's no reason for somebody to lapse and if you're very aggressive on your premium setting, there may be... you may really be in the hole. The company could really be at risk. And so there's a lot of... there's a lot of talk in the industry about these types of products but they're... they've been around for ten years or so and they're very, very popular and they have a good place in the market.

Policy Reserve and Cash Value

Both the policy reserve and the policy's cash value increase throughout the life of the policy. Eventually, they both equal the policy's face amount.



Policy Loans and Surrenders

The owner of a cash value insurance policy can borrow against the cash value by taking out a **policy loan** directly from the insurance company.

Policy loans reduce policy values because a policy loan is actually an advance payment of part of the amount that the insurer eventually must payout under the policy.

With a policy surrender, you get the cash from the policy's entire **cash surrender value**, which is the cash value amount less any amounts the policyowner owes, such as outstanding policy loans and charges.

After the surrender, the coverage terminates and no further benefits are payable.

In the United States, a cash value policy offers certain tax advantages to the policyowner, who pays

- **NO** current income tax on interest or other earnings credited to the policy's cash value
- **NO** income tax on funds borrowed from the cash value through a policy loan

1. A cash value life insurance policy provides insurance protection for the insured's entire lifetime.
   - ❑ True
   - ❑ False

Answer: True

Explanation: As long as premiums are paid and the policy remains in force, a cash value policy provides insurance protection for the insured's entire lifetime.

2. A cash value policy with a policy loan outstanding can't be surrendered.
   - ❑ True
   - ❑ False

Answer: True

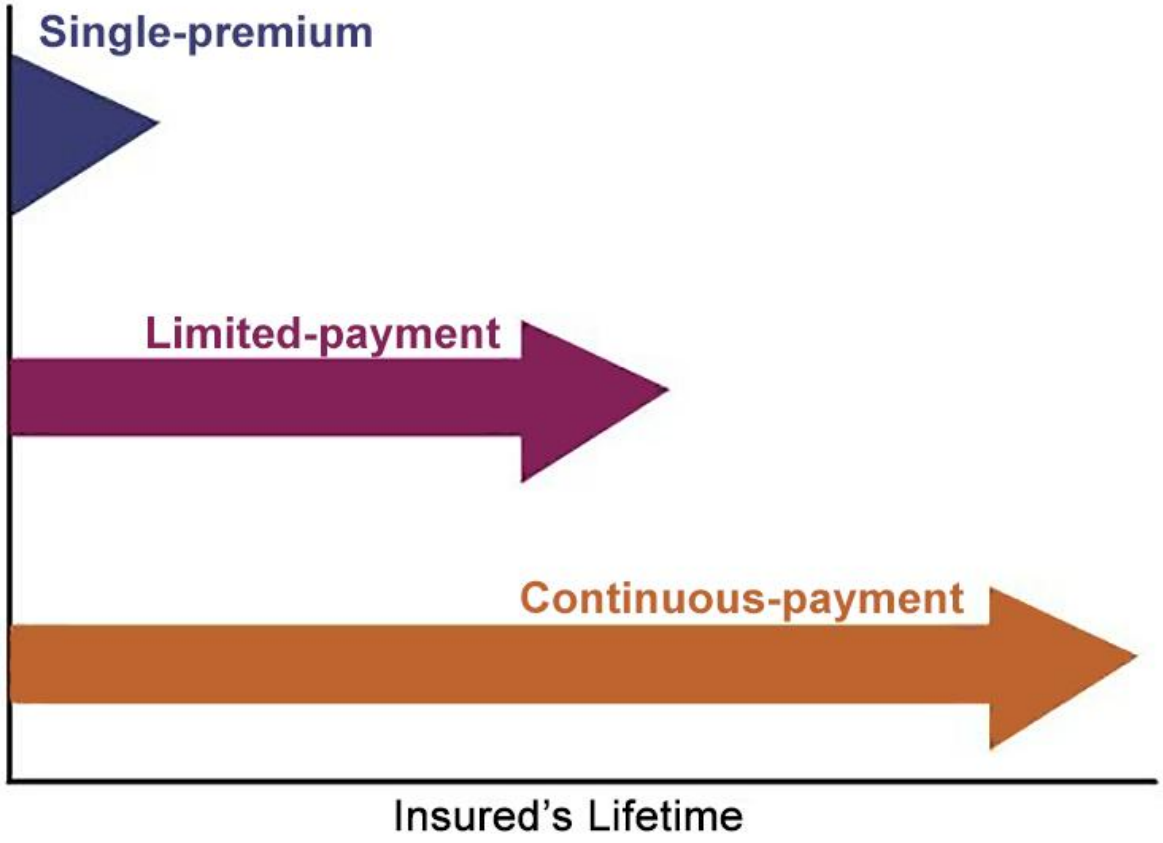
Explanation: A policyowner can surrender the policy. The cash surrender value will be reduced by the amount of any outstanding policy loans.

Now let's take a look at some of the different types of cash value coverage.

Traditional Whole Life Insurance

Traditional whole life insurance

- Is the most basic type of cash value life insurance
- Provides a constant amount of lifetime coverage
- Has a level premium rate that doesn't increase with insured's age



Traditional whole life comes in three types based on the number of premium payments:

Single-premium

Only one premium payment

Limited-payment

Premium payments spread out over a stated period of time, such as a specific number of years or until the insured reaches a specific age

Continuous-payment

Premiums payable until the insured's death

In each case, coverage continues for the insured's entire lifetime as long as premiums are paid and the policy remains in force.

Match Customers to Policies

Customers for cash value life insurance come in all shapes and sizes, too. Review each client's situation and decide which type of whole life insurance best meets the client's needs.

Arabella:

My name is Arabella Simpson and I am 45. I want life insurance that will last as long as I do. I plan to retire by 65 and I don't have a big chunk of money to spend on insurance right now. I'm also a little worried about being able to pay insurance premiums when I retire since my retirement income is probably going to be less than I earn now.

Which type of whole life insurance policy will best be able to give Arabella lifetime protection without straining her retirement income?

Single-premium whole life policy

Limited-payment whole life policy

Continuous-premium whole life policy

That's correct!

With a limited-payment whole life policy, Arabella can make premium payments until she retires. After that, her coverage will continue, but she won't need to pay any more premiums.

Ethan:

I'm Ethan Franco. I'm 52. And I've done pretty well with my investments. I've got some money in the bank. I could use some life insurance that would last my whole life but I don't want a lifetime of paying premiums every month. I want more control than that. I also want something that will provide me with money I can use if a good opportunity comes up.

Which type of whole life insurance policy will provide Ethan with a sizeable cash value immediately?

Single-premium whole life policy

Limited-payment whole life policy

Continuous-premium whole life policy

That's correct!

Under a single-premium policy, the entire premium needed to provide lifetime coverage is paid up front. This creates a sizeable cash value immediately. The cash values for other whole life insurance policies may take 3 or more years to begin to build.

Kimiko:

My name is Kimiko Chong. I'm a single mom with two kids. I make a good living and want to provide long term security for my family but I'm the sole breadwinner. My salary is increasing every year but I've also got a mortgage and a car payment. My current income won't stretch too much further.

Which type of whole life insurance policy will provide Kimiko with the most insurance coverage for the most affordable premium?

Single-premium whole life policy

Limited-payment whole life policy

Continuous-premium whole life policy

That's correct!

A continuous-premium whole life policy will let Kimiko spread the premium payments over her entire lifetime. Each individual premium will be lower than it would be under any other premium payment schedule. This will keep whole life insurance coverage within Kimiko's budget.

Modified Whole Life

Traditional whole life insurance policies are great for people who want coverage amounts and premium amounts that don't change.

But needs can and do change over time. That's where modified whole life insurance policies come in with two types of modified policies:

- Modified-premium whole life insurance
- Modified coverage whole life insurance

Carter is considering purchasing either a traditional whole life insurance policy or a modified-premium whole life insurance policy. If the initial annual premium for both policies is $2,000, which policy do you think will provide Carter with the most life insurance coverage?

The traditional whole life policy

The modified-premium whole life policy

Both policies will provide the same amount of coverage

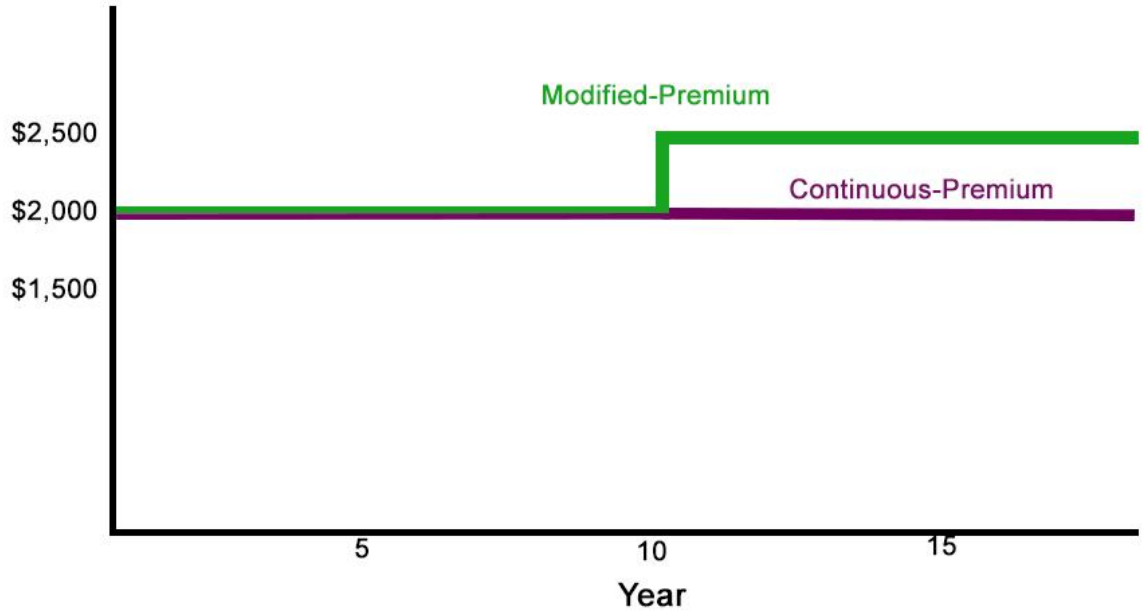
That's correct!

Because premiums under a modified-premium policy are lower during the early policy years and higher later on, Carter can afford to buy a larger face amount of modified-premium coverage than traditional whole life. But, his policy's cash value will grow more slowly than it would under a traditional whole life policy.

Modified-Premium Whole Life Insurance

Under a continuous-premium policy, Carter's annual premium of $2,000 would never change. Under a **modified-premium whole life policy**, however, the annual premium does change.

Under a modified-premium policy, Carter's annual premium of $2,000 would increase to $2,500 after an initial period—say 10 years—and remain at $2,500 for as long as the policy remains in force.



Modified Coverage Whole Life

How do you think the annual premium for Carter's modified coverage policy would compare to the annual premium for a $250,000 traditional whole life policy?

The premium would be less for the modified coverage policy

The premium would be more for the modified coverage policy

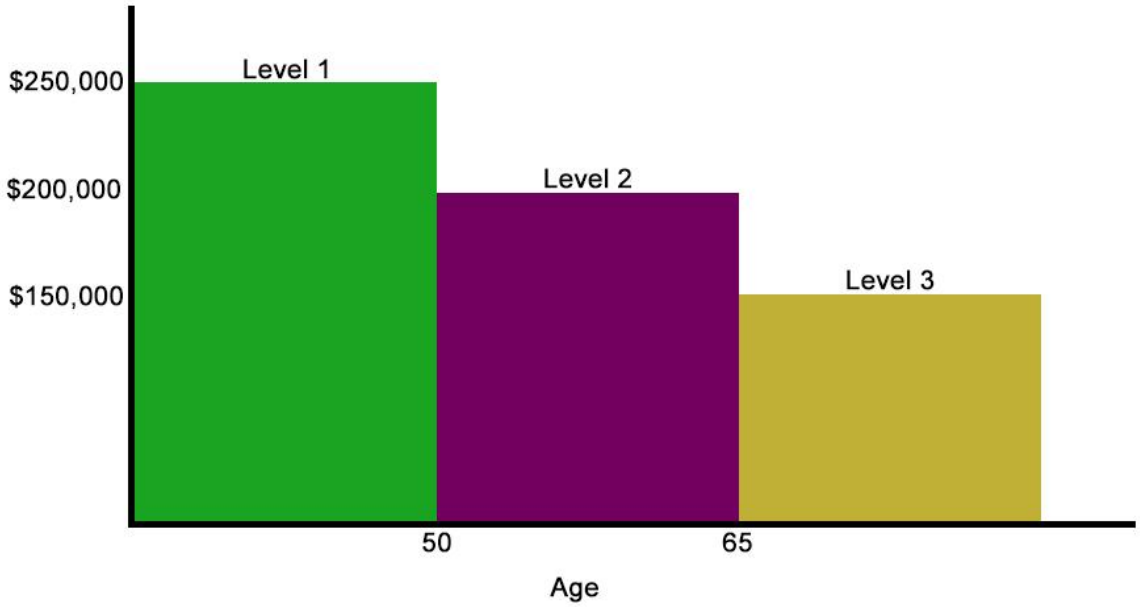
The premium would likely be the same for both policies

That's correct!

Carter's annual premium would be lower for a modified coverage policy than for a traditional whole life policy. The modified coverage policy provides the most coverage when his mortality risk is low, and the least coverage when his mortality risk is high.

Modified Coverage Whole Life

A **modified coverage whole life policy** could be structured to provide Carter with three levels of coverage:



Click or touch each tab below to see how Carter's coverage changes over time.

Level 1: **$250,000 until he reaches age 50**

While his kids are young and his wife isn't working, he's going to need the most coverage.

Level 2: **$200,000 until he reaches age 65**

By then he likely will have paid off his debts and his children will be out on their own, so he'll need less coverage.

Level 3: **$150,000 for the remainder of his life**

This amount will cover his family's needs if something happens to him.

The premium remains the same throughout the life of the policy.

Joint Whole Life & Last Survivor Life Insurance

Another option is for Carter and his wife to buy one policy that insures both their lives. Two possibilities are

- Joint whole life insurance)A plan of whole life insurance that has the same features and benefits as individual whole life insurance, except that it insures two people under the same policy; the death benefit is payable when the first insured dies.), which pays a benefit after the FIRST insured dies
- Last survivor life insurance (A variation of joint whole life insurance under which the policy benefit is paid only after both people insured by the policy have died.), which pays a benefit after BOTH insureds die

Let's look at both of these options.

Joint Whole Life & Last Survivor Life

	Joint Whole Life	Last Survivor Life
Who is insured?	Two people under a single policy	Two or more people under a single policy

What are premiums based on?	Average age of insureds	Average age of insureds
When does it pay a death benefit?	When the FIRST insured dies	When the LAST insured dies
When do coverage and premiums end?	Coverage ends after the death of the first insured; Surviving insured has a specified period in which to buy individual whole life coverage without providing evidence of insurability	Premiums stop after the first insured's death or can continue until last insured dies and benefit is payable
Other tidbits	If both insureds die simultaneously, the insurer pays a death benefit for each insured	

Choose JOINT whole life if...

...The surviving spouse needs a larger death benefit to cover continued living expenses, but won't need a large life insurance policy when he or she dies later on.

Choose LAST survivor life if...

...You have other funds or a separate policy to pay expenses when the first

insured dies, but you still want to provide a means for your heirs to pay final estate settlement costs after the second insured dies.

Either way, one joint whole life or last survivor life policy will probably be less expensive than two individual whole life policies.

Choose the correct life insurance product by the description.

Most basic type of cash value policy; level death benefit, level premium rate

Modified coverage whole life insurance

Last survivor life insurance

Traditional whole life insurance

Joint whole life insurance

Modified premium whole life insurance

That's correct!

Smaller premium for an initial period, followed by a larger premium for the remainder of the insured's lifetime; death benefit remains the same

Modified coverage whole life insurance

Last survivor life insurance

Traditional whole life insurance

Joint whole life insurance

Modified premium whole life insurance

That's correct!

Insures two lives with one policy, for one premium; death benefit payable upon the death of the first insured

Modified coverage whole life insurance

Last survivor life insurance

Traditional whole life insurance

Joint whole life insurance

Modified premium whole life insurance

That's correct!

The face amount of coverage changes at stated intervals; usually highest face amount in early policy years, and lowest face amount in later policy years. The premium amount remains the same.

Modified coverage whole life insurance

Last survivor life insurance

Traditional whole life insurance

Joint whole life insurance

Modified premium whole life insurance

That's correct!

Insures two or more lives with one policy, for one premium. The death benefit is payable upon death of the last insured.

Modified coverage whole life insurance

Last survivor life insurance

Traditional whole life insurance

Joint whole life insurance

Modified premium whole life insurance

That's correct!

Other Types of Life Insurance Policies

Learning Objective

Describe the features and benefits of universal life, indexed universal life, variable life, and variable universal life insurance products.

The cash value policies we've talked about so far earn an interest rate that is specified in the policy.

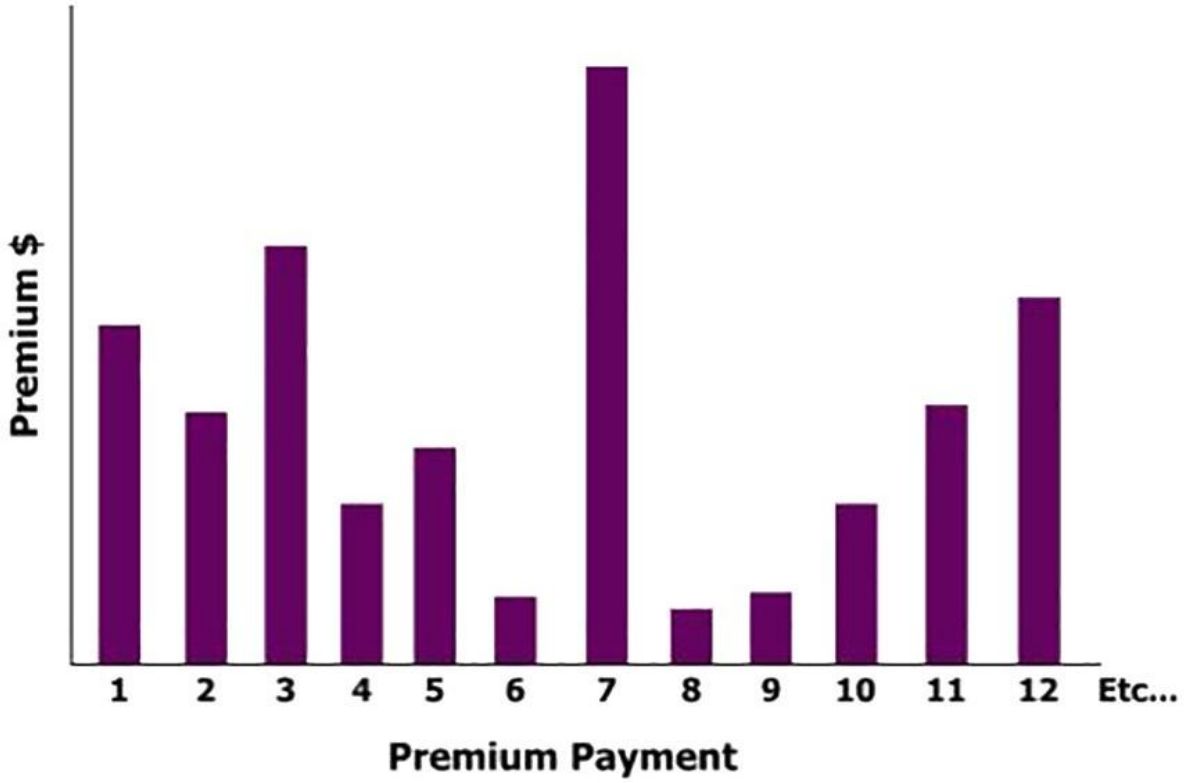
Some policyowners may want lifetime insurance coverage but also an opportunity to earn more than just a stated interest rate.

Universal Life (UL) Insurance

Universal life (UL) insurance (A form of cash value life insurance that is characterized by its flexible premiums, its flexible face amount and death benefit amount, and its separation of the three primary policy elements.) has

- Flexible premium amount
- Flexible face amount and death benefit
- Separate pricing factors

Let's look at each of these features.



Premium flexibility is one of the primary advantages of universal life. After the first premium payment, Ethan can choose (within limits)

- When to make additional premium payments, and
- How large the payments will be.

This feature can be important for someone whose ability to pay may fluctuate. Larger premium payments may also increase the policy's cash value.

What happens if Ethan fails to pay a renewal premium for his UL policy?

The policy could remain in force

The policy will lapse immediately for nonpayment of premium

That's correct!

As long as the policy's cash value is large enough to pay the periodic mortality and expense charges, the policy will stay in force even if Ethan doesn't pay renewal premiums. This gives Ethan more control over the timing of his premium payments.

But Ethan must be careful…if his premium payments are too small for too long, the policy could lapse, leaving him without insurance protection!

Some UL policies offer a no-lapse guarantee.

As long as the policyowner pays a minimum premium amount for a specified period of time, the policy will stay in force to age 100 or 120.

But, paying the minimum required premium usually isn't enough to build up significant cash values.

UL's Flexible Death Benefit

Why wouldn't it qualify as life insurance?

Section 7702 corridor

In the United States, the difference between the policy's death benefit and its cash value is known as the **Section 7702 corridor**.

If the relationship of the policy's cash value to its death benefit exceeds the regulatory limits, then the policy is treated for tax purposes as an investment product rather than an insurance policy.

That's why most insurers will automatically increase the face amount of a UL policy if the cash value exceeds the allowed percentage of the death benefit. This helps the UL policy continue to meet the legislative requirement, and the policy remains an insurance policy rather than an investment.

Or, Ethan can decide that he wants his death benefit to increase based on increases in the policy's cash value. If the cash value grows over time, so does the death benefit. However, if the cash values decline, then so would the death benefit.

UL's Separate Pricing Factors

Term life insurance and traditional whole life insurance state the *total* premium amount the policyowner must pay to keep the policy in force.

A UL policy lists the pricing factors *separately*. This helps customers better understand UL policies and compare policies from different insurers.

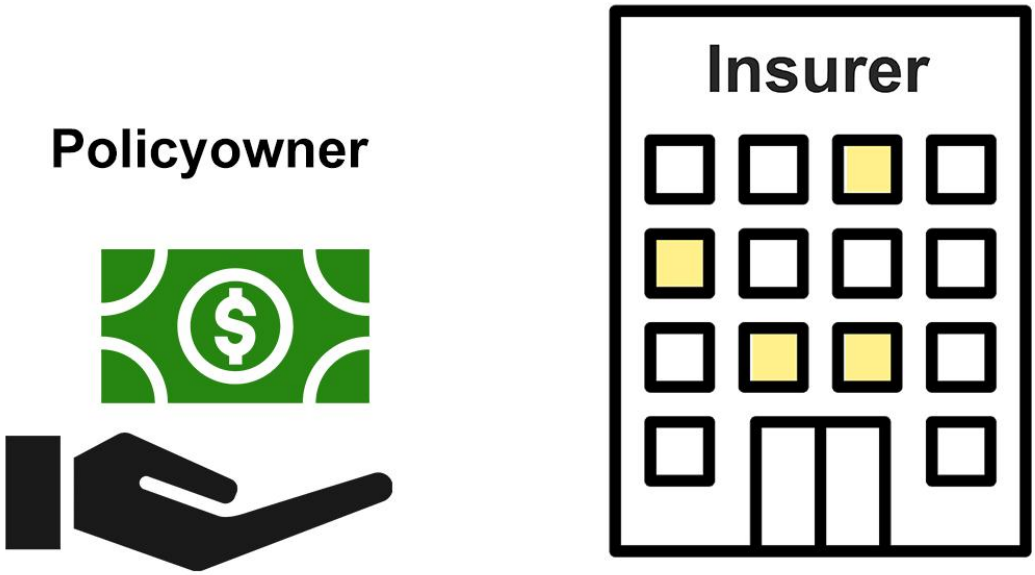
Operation of a UL Policy

Mortality charges. The insurer periodically deducts from the cash value an amount to cover the mortality risk the insurer assumed by issuing the policy.

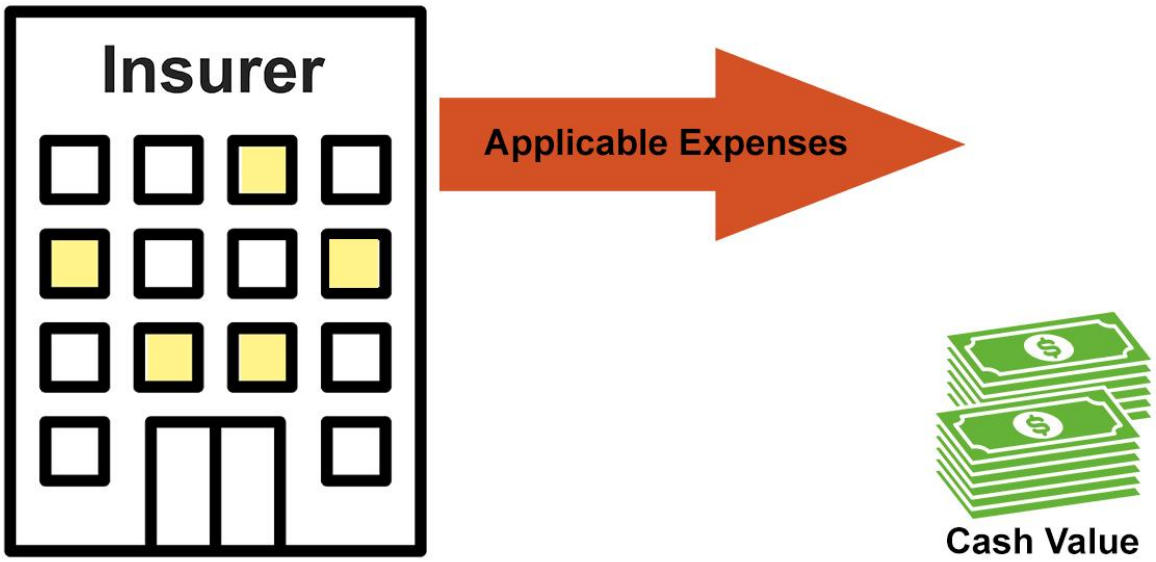
Interest rate. The insurer invests a portion of each premium and credits interest from these investments to the policy's cash value. The insurer guarantees a certain minimum return and credits a higher interest rate if the investments perform well.

Expenses and fees. The insurer deducts stated expenses and fees from the cash value. Examples of deductions include:

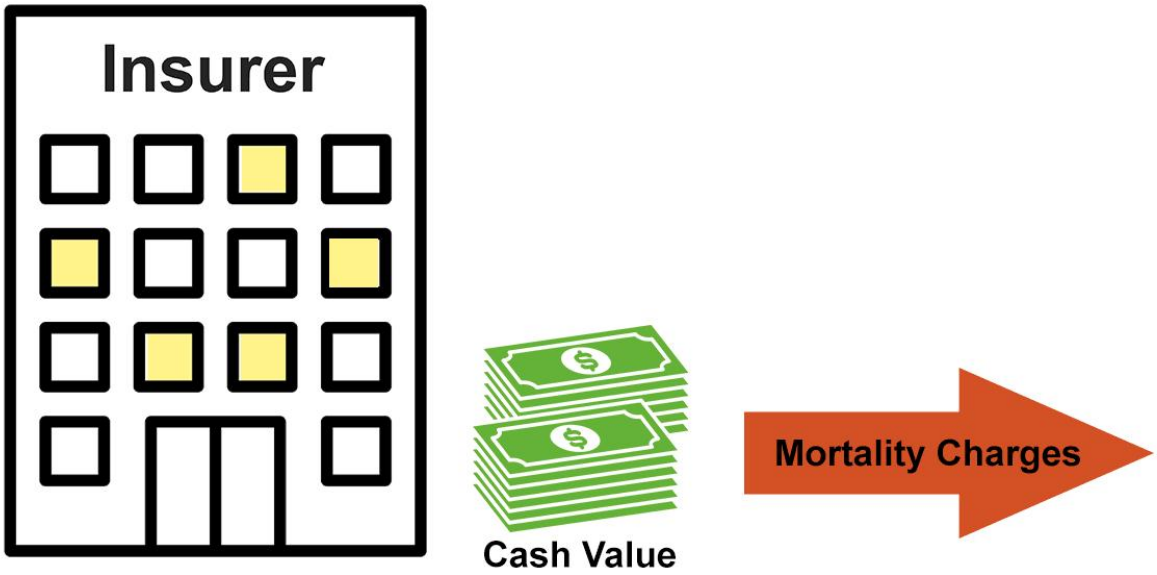
- A percentage of each premium (such as 4%) to cover expenses
- Specific charges for policy withdrawals (deducted from the cash value)



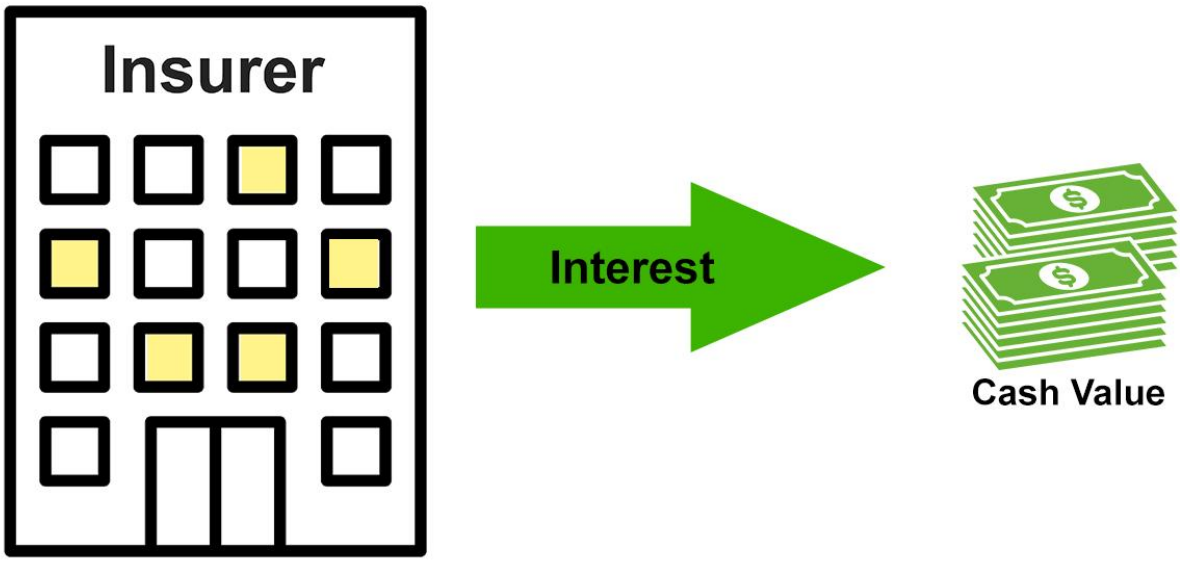
Insurer receives premium.



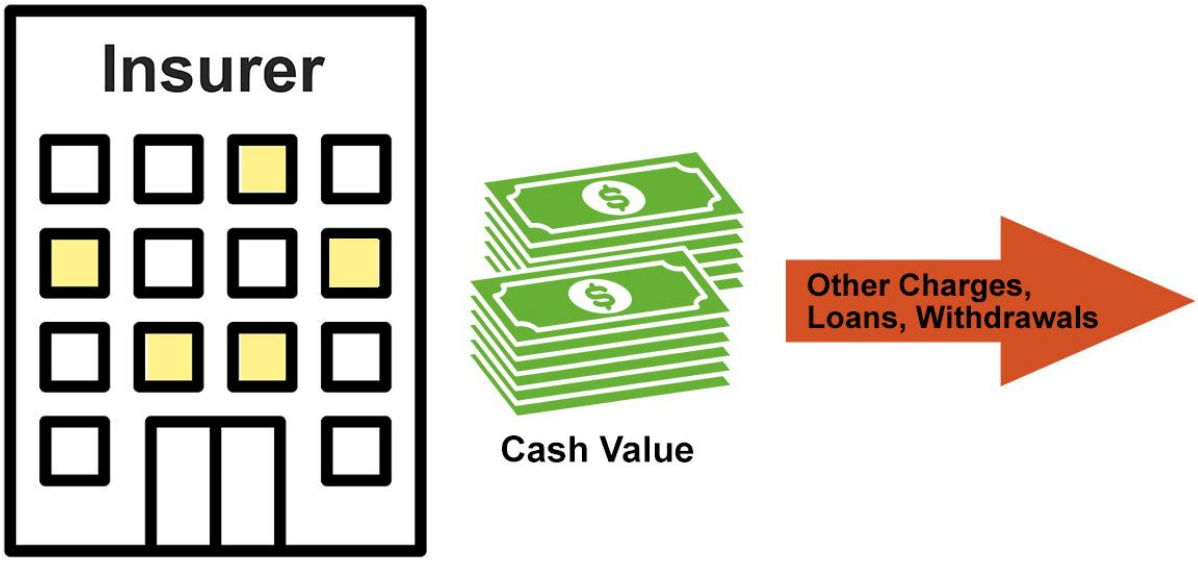
Insurer deducts some expense charges...and credits remainder to cash value.



Insurer deducts monthly mortality charge from cash value.



Insurer credits cash value with interest.



Insurer may deduct additional expenses, such as other charges, loans or withdrawals, from cash value.

Universal Life vs. Term Life

See as this industry expert explains the difference between universal life insurance and term life insurance.

Lincoln Demier
Product Design Manager
American Family Insurance:

Universal life differs from term life insurance in some fairly fundamental ways. With term life insurance, you have a fixed amount of years and a fixed premium that the product is available. With universal life, you have tremendous flexibility. You have the ability to increase the death benefit. You have the ability to decrease the death benefit. You have the ability to increase premiums; you have the ability to decrease premiums.

You can have a level death benefit. You can have an increasing death benefit. You can do a 1035 exchange of funds from inside a universal life policy into an annuity contract and carry the cost basis of the universal life over to the annuity which can provide for a very tax-advantaged stream of income during retirement.

So, the universal life policy shifts the interest rate risk to the consumer and with that flexibility we believe comes a tremendous responsibility to do annual reviews of the universal life policy to make sure that the assumptions that were made when the product was purchased are holding true on an annual basis. So, universal life insurance, tremendous flexibility, terrific

product, but that also means responsibility for the consumer, for the company issuing the policy, and for the agent servicing the policy.

Companies and agents are counseling the consumer that purchased universal life hopefully on an annual or a biannual basis. Many of the universal life policies sold in this country were sold in a much higher interest rate environment, which means customers would either need to lower their death benefit or increase the amount of premium paid into the policy in order for those policies to last until maturity.

So it's incumbent upon organizations and agents to reach out to customers who own universal life policies and bought them in a higher interest rate environment to let them know that action probably needs to be taken. The status quo is not the same as when the policy was bought. So lacking any kind of proactive action on the part of the policyowner, the universal life policy could be subject to early lapse.

Indexed Universal Life (IUL) Insurance

Indexed universal life (IUL) insurance (A type of universal life insurance that offers certain principal value and earnings guarantees, but also offers the possibility of additional earnings by linking the cash value to a published index. Also called equity indexed universal life (EIUL) insurance.), which is also known as equity indexed universal life (EIUL),

- Offers the same features of traditional universal life insurance

- Allows the policyowner to tie the cash value of the policy to the performance of a stock or other published equity index, such as the Standard & Poor's 500 Composite Stock Price Index (the S&P 500)

An IUL guarantees that the cash value will earn at least a minimum interest rate.

- If the index-linked interest rate is higher than the guaranteed rate, the excess earnings are credited to the account up to a specified maximum rate. The IUL specifies the method used to calculate and credit excess interest.
- If the index-linked interest rate is lower than the guaranteed rate, earnings are based on the guaranteed minimum interest rate.

The IUL also guarantees that the policyowner's principal is protected by the minimum guaranteed interest rate.

Variable Insurance Products

Some types of insurance products transfer investment risk from the insurance company to the policyowner.

For traditional insurance products, the insurer invests the premium payments in its **general account** that contains relatively secure investments, such as bonds or government securities. The insurer guarantees that a policy's cash value will earn a minimum interest rate regardless of the insurer's investment experience.

But variable insurance products, such as variable life and variable universal life allow the policyowner to choose how the premiums are invested.

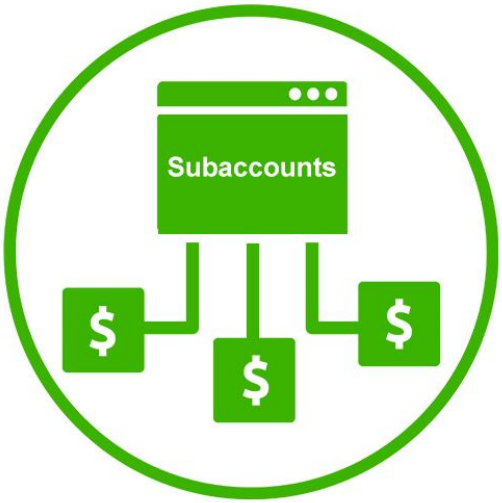
Variable Investment Options

Variable insurance policyowners can choose from among alternative pools of investments, called **subaccounts** (or *variable subaccounts*). Each subaccount has a distinct risk/return profile and investment strategy.

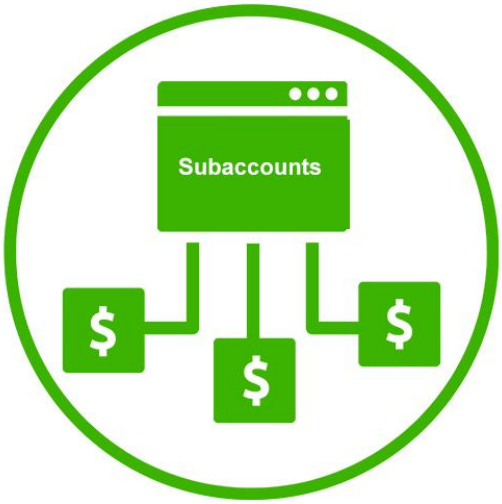
These subaccounts are part of the insurer's **separate account** (*segregated account*), which is an investment account the insurer uses to help manage the funds placed in its variable products.

Let's see how subaccounts work.

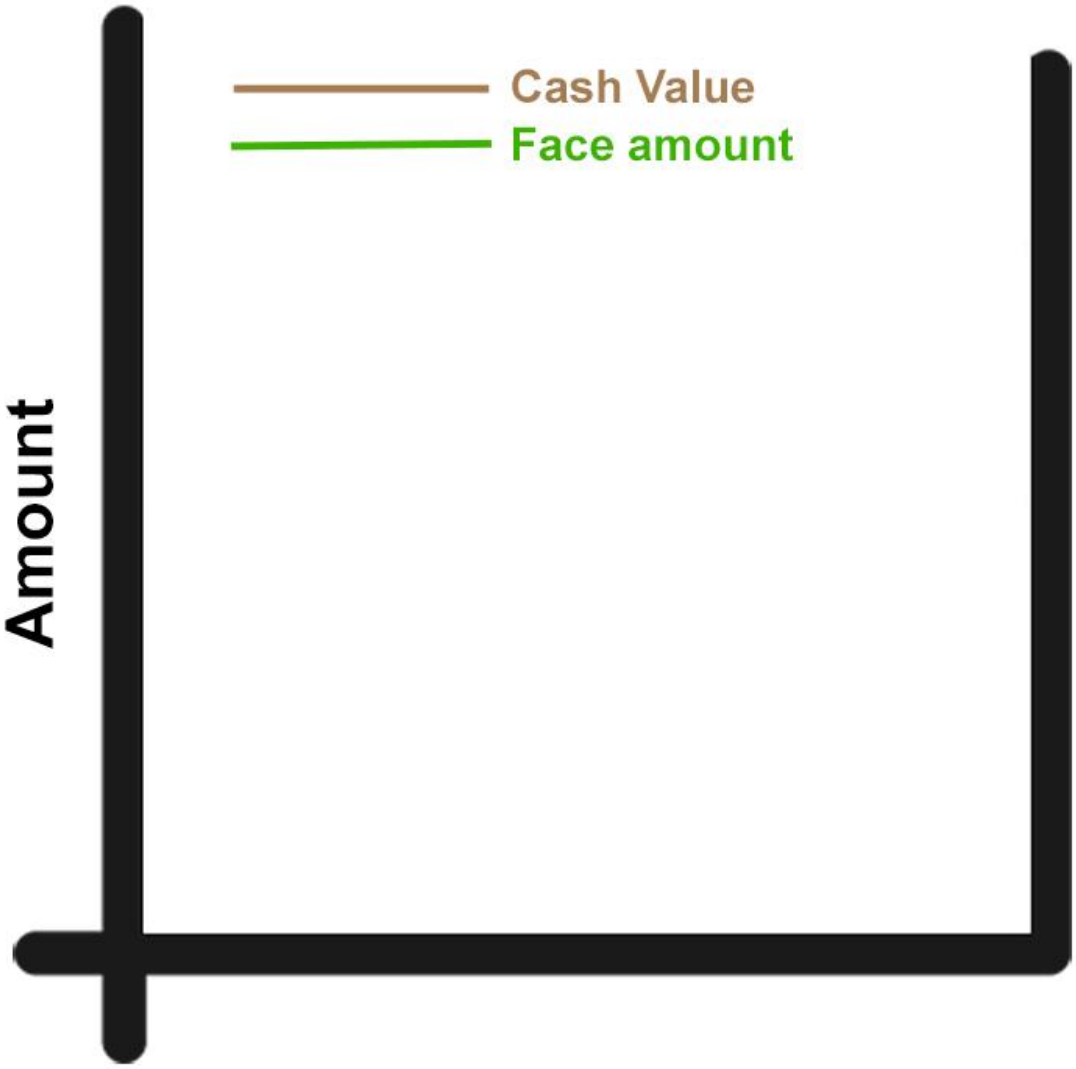
The policyowner pays the premium.



The insurer invest the premiums into subaccounts.



Subaccount values fluctuate according to investment performance…



...and the policy face amount and cash value also fluctuate.

What do you think?

If the variable policyowner's subaccount investments perform well, the policy's death benefit and cash value [**increase / decrease**]. If the subaccount's investments perform poorly, the death benefit and cash value [**increase / decrease**].

increase / increase

increase / decrease

decrease / increase

decrease / decrease

That's correct!

The policyowner assumes most or all of the investment risks for a variable policy. If investment funds perform well, the death benefit and cash value will increase; but if the funds perform poorly, the death benefit and cash value will decrease.

The policyowner can change his subaccount selections at least once a year if he's not satisfied with the results.

Variable Products as Securities

Because the owner of a variable policy assumes the risks associated with the underlying investments, variable products sold in the United States are classified as **securities**.

As securities, variable products must comply with federal securities laws, which are enforced by the Securities and Exchange Commission (SEC).

Variable Life Insurance

The most basic type of variable product is **variable life (VL) insurance**, which has

- Fixed premiums
- Death benefit and other policy values that vary according to the performance of subaccounts chosen by the policyowner

Most VL policies guarantee

- A death benefit at least equal to the principal amount

Most VL policies DO NOT guarantee

- Investment earnings for variable subaccounts
- A minimum cash value

New policies of variable life insurance are rare.

Variable Universal Life (VUL) Insurance

By far the most commonly sold variable insurance product is **variable universal life insurance (VUL).**

A VUL policy really puts the policyowner in the driver's seat.

VUL blends the investment flexibility of variable life insurance with the premium and death benefit flexibility of universal life insurance.

In short, VUL has

- Flexible premiums
- Choices regarding underlying investment accounts
- Flexible death benefit

Let's see how it works...

VUL's Flexible Premiums

Suppose Ethan purchases a VUL policy.

At first, the VUL has a specified death benefit and a minimum scheduled premium payment designed to meet the first year's mortality and expense charges.

After that, Ethan can pay into the plan whatever he wants, as long as the cash value continues to cover the mortality and expense charges.

VUL's Choice of Underlying Investment Accounts

VUL gives Ethan control of the cash value portion of his policy.

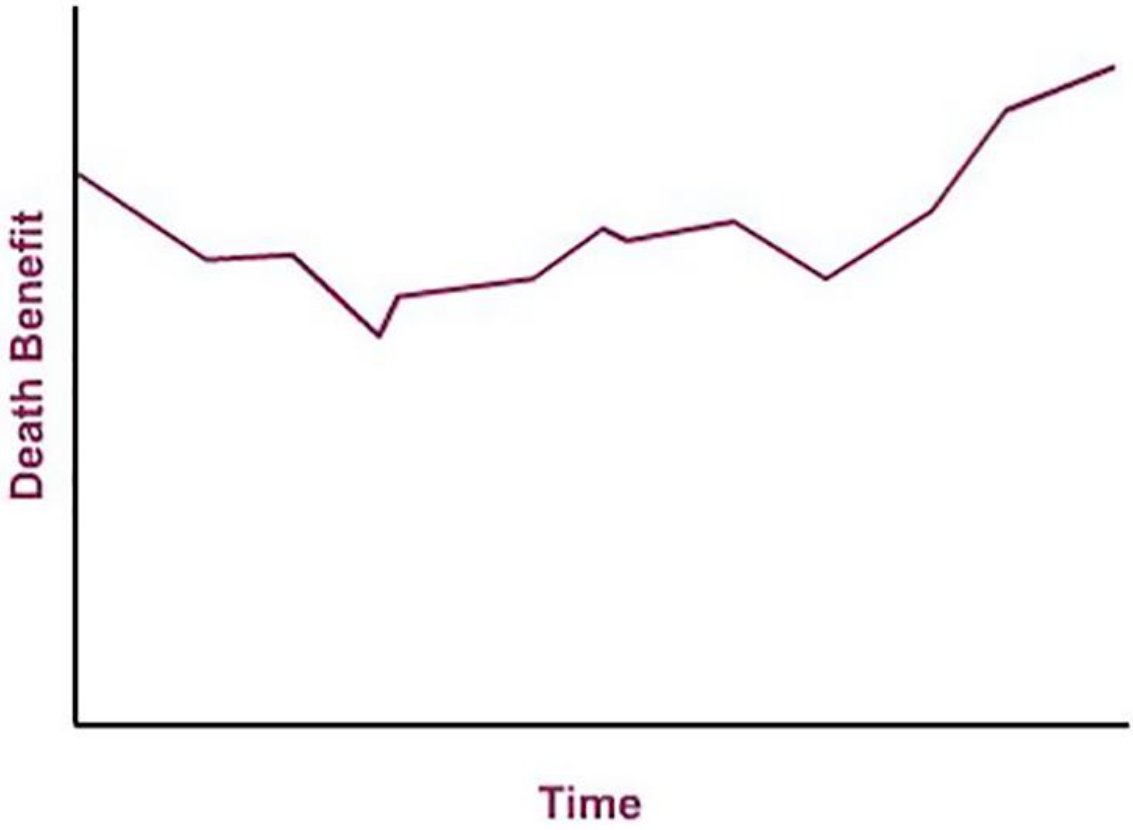
When he pays the initial premium, he can choose from among several—often many—subaccounts within the insurer's separate account.

He can also choose to put some of his premium into a fixed fund in the insurer's general account. He can redirect the investments at least once each year, without charge, to take advantage of his perception of the market.

VUL's Adjustable Death Benefit

The VUL death benefit may rise or fall, depending on the success of the underlying investments Ethan chooses. If he dies when values are down, his VUL policy will still pay a minimum death benefit to his beneficiary.

But the VUL offers Ethan the opportunity to build up a significant cash value if the stock market performs well over the period his policy is in force.



Select the type of policy based on the description. Choose all that apply.

Flexible premiums

UL

IUL

VL

VUL

That's correct!

All three types of universal life policies have flexible premiums.

Fixed Premiums

UL

IUL

VL

VUL

That's correct!

Premiums for VL policies are fixed for the life of the policy.

Submit

Separate pricing factors

UL

IUL

VL

VUL

That's correct!

All three types of universal life policies list investment earnings, charges, and cost of insurance separately in the policy.

Policyowner assumes investment risk

UL

IUL

VL

VUL

That's correct!

VL and VUL policies are considered securities in the U.S. because the policyowner chooses investment funds and assumes the investment risks.

Submit

Death benefit can remain level or vary with changes to cash value

UL

IUL

VL

VUL

That's correct!

All three types of universal life policies offer two options for the death benefit:

- The death benefit can remain level—equal to the policy's face amount

- The death benefit can vary with changes in the policy's cash value

Death benefit varies according to investment performance

UL

IUL

VL

VUL

That's correct!

For both VL and VUL, if separate account investment funds perform well, the death benefit increases; if the funds perform poorly, the death benefit decreases.